

Individual Ethics in Organizations

Why Good People do Bad Things

Presented by: Muhammad Abdul Kareem, Muhammad Abdul Saboor, Rehman Asif, Muhammad Farooq— **Course:** Introduction to Management

Based on: Drucker, Trevino, Bazerman & Tenbrunsel

Spoiler: You have already done something unethical today.
You just don't remember it.





Raise your hand if you are a good person.

Now keep it up if you have ever...

...taken a pen from work?

...called in sick when you were fine?

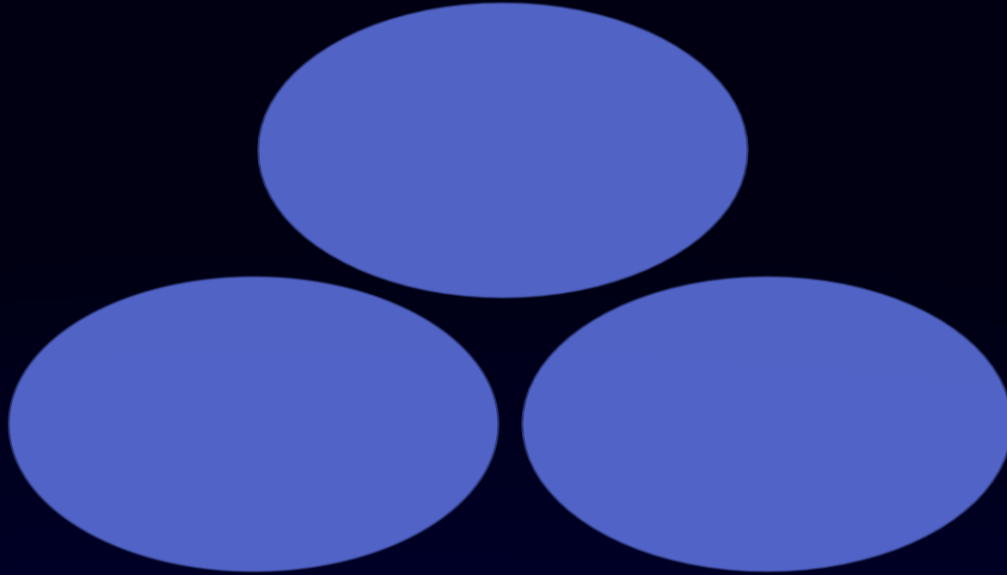
...stayed quiet when something felt wrong?

Look Around. That discomfort you feel?

That is our topic.

What We Think vs. What Actually Happens

Our perception of ethics vs. the reality of decision-making.



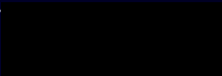
- Bad people do bad things
- I would notice
- Scandals are rare

- Good people do small bad things
- We never notice in ourselves
- Small compromises happen daily

Here is the truth:

Most unethical acts are not done by criminals. They are done by people like you. People who just... didn't see it coming.

Source: Trevino & Nelson, "Managing Business Ethics"



What Are Individual Ethics? (Peter Drucker's View)

Peter Drucker said ethics lives in three places.

		
Knowing	Feeling	Doing
Is this actually right?	Does this feel wrong?	Did I keep my promise?

Not company policy.

Not the law.

Just you. Alone. With a choice.

The Question That Changes Everything



If most of us are good people...

and most companies have rules...

Why do scandals keep happening?

The rest of this presentation will answer that question.



Kohlberg's Moral Development Levels

Levels	Meanings
1). Pre-conventional	Behavior driven by avoiding punishment and gaining rewards
2). Conventional	Behavior guided by social norms, approval, and maintaining order (Image)
3). Post-conventional	Behavior based on ethical principles, justice, and individual values

Most adults operate at the **Conventional level**, **Example (Real-Life Application): Returning a lost wallet:** which explains:

1. Conformity in organizations
 2. Rule-following behavior
 3. Influence of workplace culture on ethics
- **Pre-conventional:** Return it to avoid punishment
 - **Conventional:** Return it because society expects honesty
 - **Post-conventional:** Return it because it is morally right

Source: Kohlberg, The Philosophy of Moral Development

Source: Gilligan, C. (1982). In a Different Voice.



Gilligan's Critique

Carol Gilligan argued that ethics can be understood through two perspectives: justice (rules & rights) and care (relationships & responsibility).

Gilligan's challenged Kohlberg by showing that moral reasoning also includes care, empathy, and relationships, etc — not just rules.



Justice Perspective

- Focus on fairness, rules, rights
- Emphasizes logic and consistency



Care Perspective

- Focus on relationships and impact
- Emphasizes empathy and responsibility

Example:

Workplace decision

Justice: Apply policy equally

Care: Consider employee's personal situation

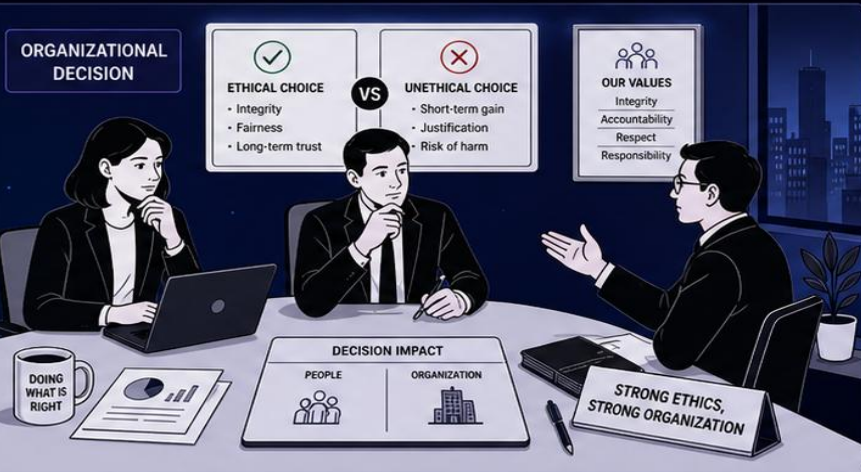
INDIVIDUAL LEVEL

Small cheating, self-justified



FUTURE LEADER
ETHICAL CHOICES TODAY

INDIVIDUAL DISHONESTY
SCALES INTO ORGANIZATIONAL BEHAVIOR



The Math Test Study



Design: Students graded their own tests, shredded answers, and were paid for claimed correct answers.



Result: At the individual level, people cheat slightly (1–2 questions) but still see themselves as honest.

When later asked, 100% claimed to be honest and believed it.



Key Insight: This reflects self-concept maintenance – people justify small dishonesty to protect their self-image.



Organizational Insight: In organizations, this behavior translates into small unethical practices (e.g., rounding expenses, favoring certain vendors) that feel acceptable and go unnoticed.



TAKEAWAY: Small individual dishonesty
→ **normalized organizational culture.**

Source: Bazerman & Tenbrunsel

The Three Pressures

Robert Jackall (1988), Moral Mazes

- **Authority:** “My boss instructed me to do it.”
- **Conformity:** “Everyone else is doing it.”
- **Goal Pressure:** “I must meet targets at any cost.”

Conclusion

Unethical behavior often results from systemic pressures within organizations—not just individual character.



Milgram Experiment



What happened

Ordinary people told to administer shocks

Stranger begged to stop

Result

65% continued to highest voltage

Participants obeyed when authority insisted

Lesson: When an authority figure commands it, people may stop questioning ethical consequences.

Source: Milgram, Obedience to Authority

The Asch Experiment

How group pressure changes individual judgement

What Happened

- Participants were shown lines and asked which was longest
- The correct answer was obvious — no ambiguity
- But every other person in the room deliberately gave the **wrong** answer

The Result

75% of participants agreed with the group at least once — even when they knew it was wrong.

The lesson for organisations:
being ethical alone is terrifying.
You will agree to a wrong answer just to avoid being the outsider.

Source: Asch, "Studies of Independence and Conformity"



Wells Fargo: What Happens When Goals Are Impossible



Source: Trevino & Nelson, "Managing Business Ethics"

CASE STUDY

"8 Accounts Per Customer"

The Goal

Every customer must hold 8 bank accounts — a target employees could not realistically meet.

What Employees Did

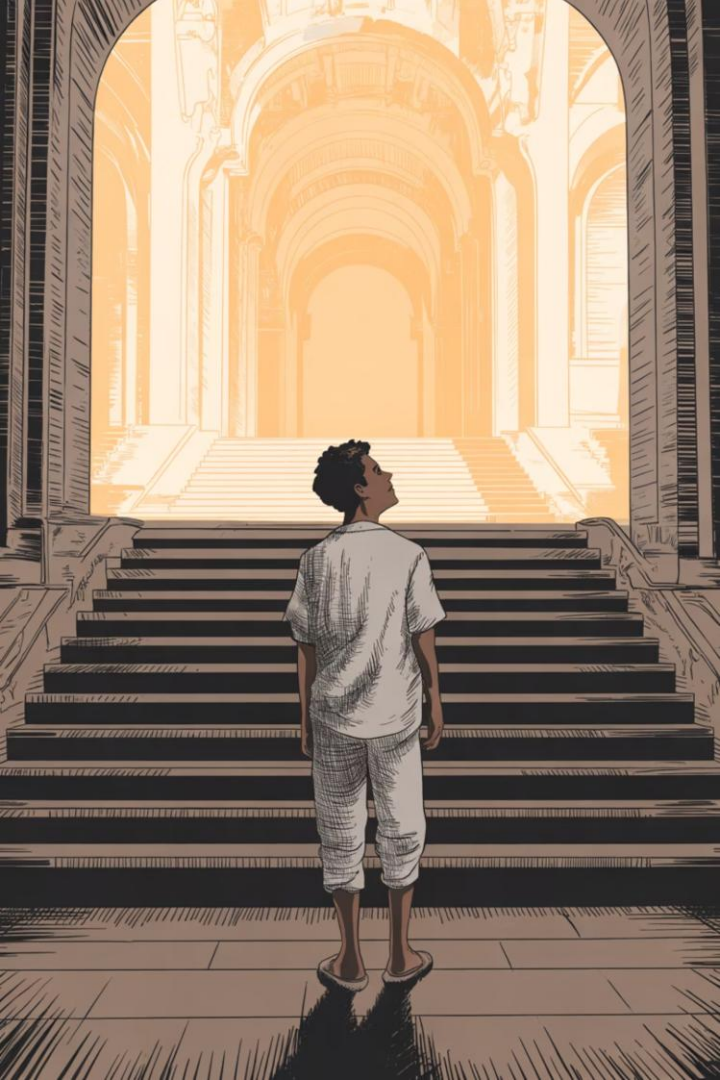
Opened **2 million fake accounts** without customer permission, using real customer funds.

The Result

\$3 billion in fines. Thousands of innocent customers lost their homes. Careers destroyed.



Unrealistic goals do not motivate people. They turn them into liars. — Trevino & Nelson



The Good News: Ethics Is a Skill

From Trevino & Nelson, "Managing Business Ethics"

⚠ The Bad News

- Your brain has blind spots you cannot see
- Authority, conformity, and targets push you toward compromise
- You **will** face pressure — it is not a question of if

✓ The Good News

- Ethics is **not** a fixed personality trait
- It is a **skill** — and skills can be learned
- You can train yourself to catch the **first small step** before it becomes a scandal

The 10-Second Rule

Bazerman & Tenbrunsel — before any decision that feels uncomfortable, pause.



Pause

Name It

Ask

- Why this works:** Naming the behaviour breaks your brain's ability to hide it from itself. The act of speaking it aloud forces conscious awareness — which is where ethical judgement lives.

Three Ethical Rules from Management Literature

If a decision fails **any one** of these three tests — do not do it.

The Front Page Rule

Would you be comfortable seeing this decision reported on the front page of a national newspaper tomorrow morning?

— Bazerman & Tenbrunsel

The Golden Rule

Treat others exactly as you would want to be treated yourself — no exceptions for status, pressure, or convenience.

— Used in every management ethics textbook

The Light of Day Rule

Could you explain this decision clearly and honestly to a child — or anyone outside your organisation?

— Laura Nash, *Harvard Business Review*

Three Actions You Can Take Tomorrow

From Trevino & Nelson — small actions, because scandals start with small steps.

1

Find a Truth-Teller

Identify **one person** at work who will tell you when you are wrong. Then promise them — out loud — that you will not get defensive.

2

Write Your Three Lines

Name **three ethical lines** you will never cross, no matter the pressure. Write them down. Put them in your drawer.

3

Ask "Why?" Before "Yes"

Before agreeing to any request that feels unusual, ask: **"Why are we doing this?"** — one question can change everything.





**Ethics is not about
being perfect.**

**It is about catching yourself
before the first step.**

Thank you. — Questions welcome.